that Tibet is under the suzerainty of China, and recognising also the autonomy of Outer Tibet engage to respect the territorial integrity of the country, and to abstain from interference in the administration of Outer Tibet (including the selection and installation of the Dalai Lama), which shall remain in the hands of the Tibetan Government at Lhasa'.[28] The text also states that 'the Government of China engages not to convert Tibet into a Chinese province. The Government of Great Britain engages not to annex Tibet or any portion of it.'[29]

The Tibetans did not get what they wanted, a full recognition of their independence, but China had to pledge to send only a 'high official' with 'suitable escort' that should 'in no circumstances exceed 300 men,' and 'it is also understood that the selection and appointment of all officers in Outer Tibet will rest with the Tibetan Government'.[30]

Chen had initialled the draft text of the Convention, but, in the end, refused to ratify it. According to historian John Rowland, his and his government's 'main reason for rejecting the Simla [Shimla] Convention stems from China's basic and traditional unwillingness to relinquish rights to territory which it considers to be eternally part of the "celestial" realm'.[31]

Although the question of the creation of an Inner and Outer Tibet and the demarcation of the boundary between the two areas were the main topics of debate at Shimla, the Indo-Tibetan border was also discussed. Among the articles in the Convention that Chen had initialled was the ninth article, which states that, 'For the purpose of the present Convention the borders of Tibet, and the boundary between Outer and Inner Tibet, shall be shown in red and blue respectively on the map attached hereto.'[32] The red line was the McMahon Line, which separated Tibet from British India, the blue one was the boundary between Inner and Outer Tibet. Thus, Rowland argues, 'it is unreasonable for China now to allege that the India-Tibet border was not taken up at Simla [Shimla]',[33] or that Chen did not approve of the red and blue lines on the map.

Nothing was negotiated behind the backs of Chen and his delegation, as the Chinese later claimed. But it could be argued that the Chinese were not party to discussions about the details of the demarcation of the Indo-Tibetan border, which was considered by the British and the Tibetans as a bilateral issue, and therefore not a Chinese concern.